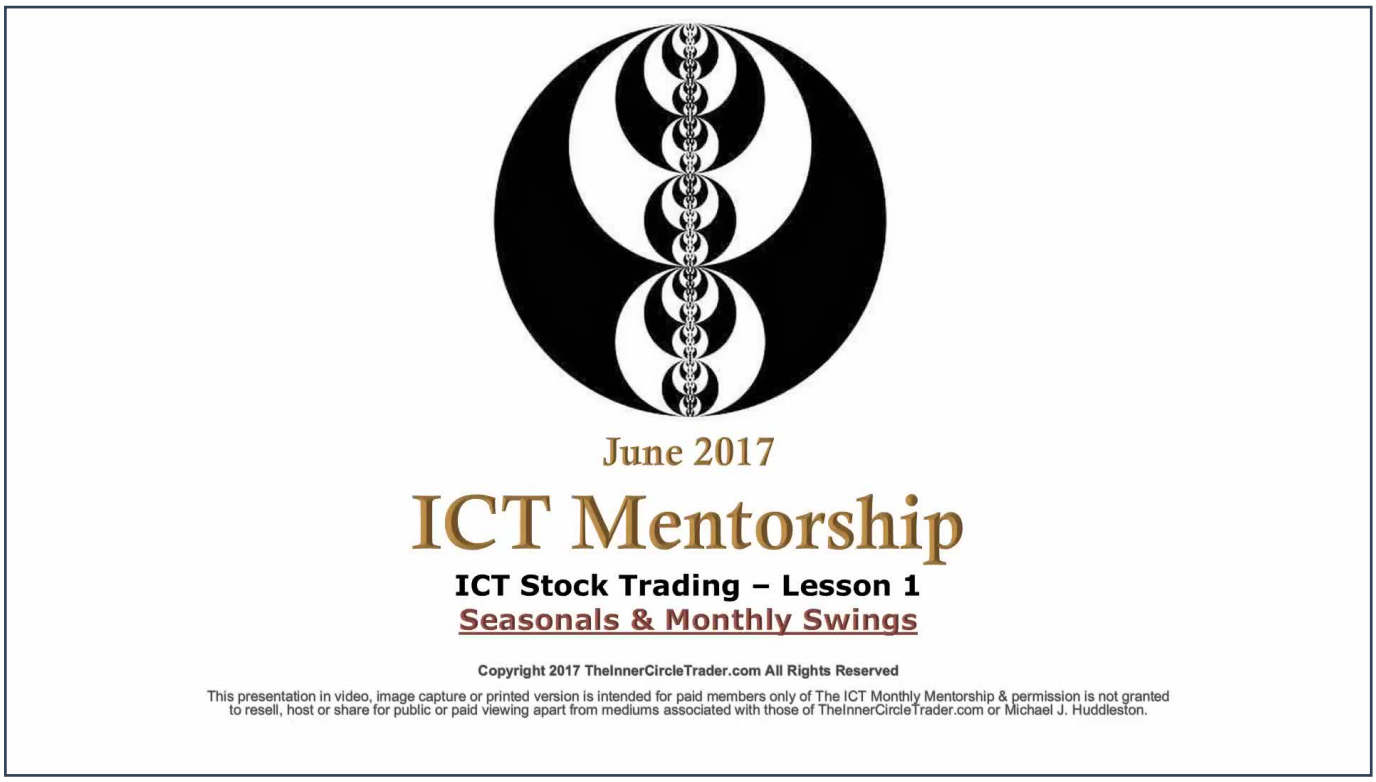
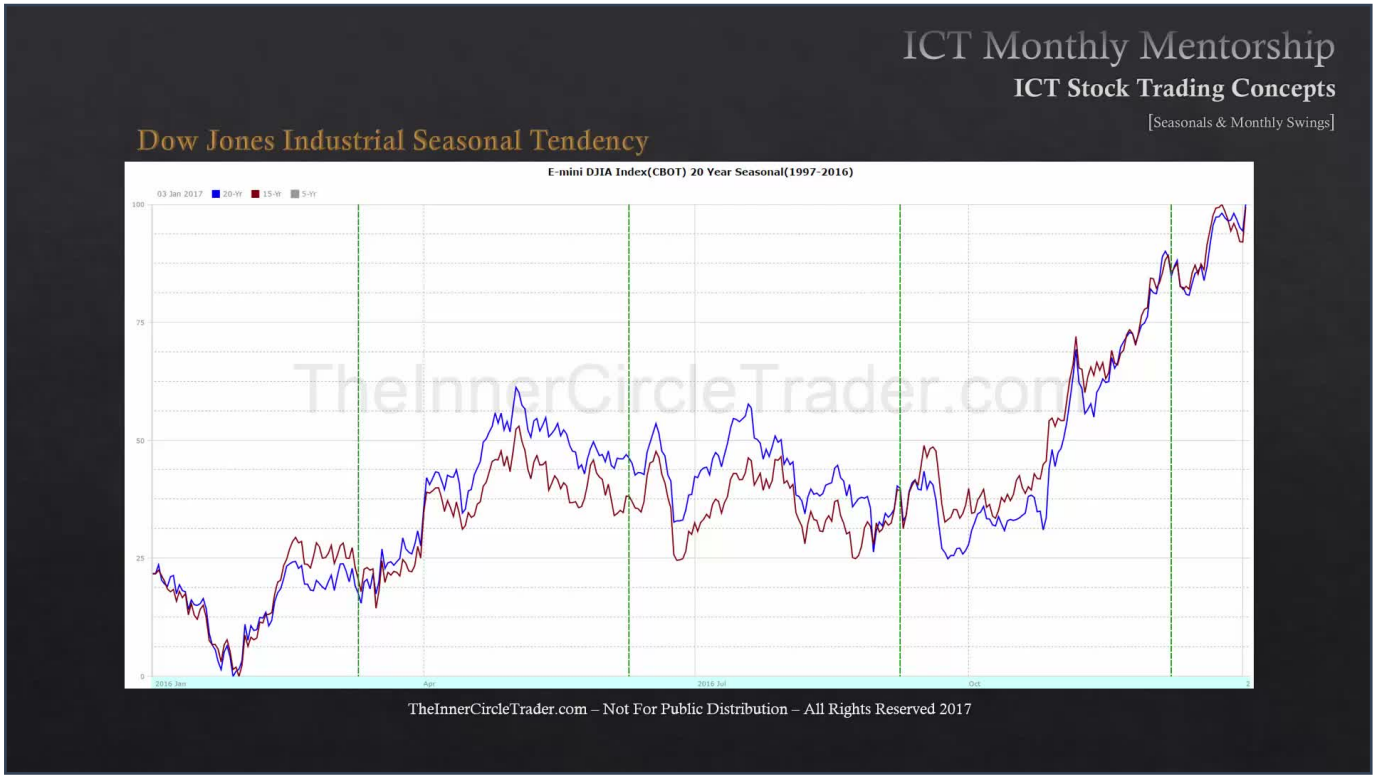
ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 10 - STOCK TRADING - SEASONALS & MONTHLY SWINGS



Welcome to the final week of June 2017's ICT mentorship content. This week's lessons focus on ICT stock trading, specifically 'Seasonals & Monthly Swings'.



The Dow Jones Industrial seasonal tendency is credited to Moore Research, specifically Steve Moore, who provides the best seasonal tendencies for active traders. I look at the overall directional seasonal for the Dow Jones Industrial Average.

While one can examine NASDAQ and S&P 500, the simplest approach for me was to focus on the Dow Jones Industrial. It's a small sample size of 30 blue-chip companies, some of the biggest in North America. If they perform well, generally the S&P will also do well. NASDAQ, despite its tech-heavy nature, can still be a good barometer for the overall stock market.

DOW VS. S&P 500 IN SEASONAL ANALYSIS

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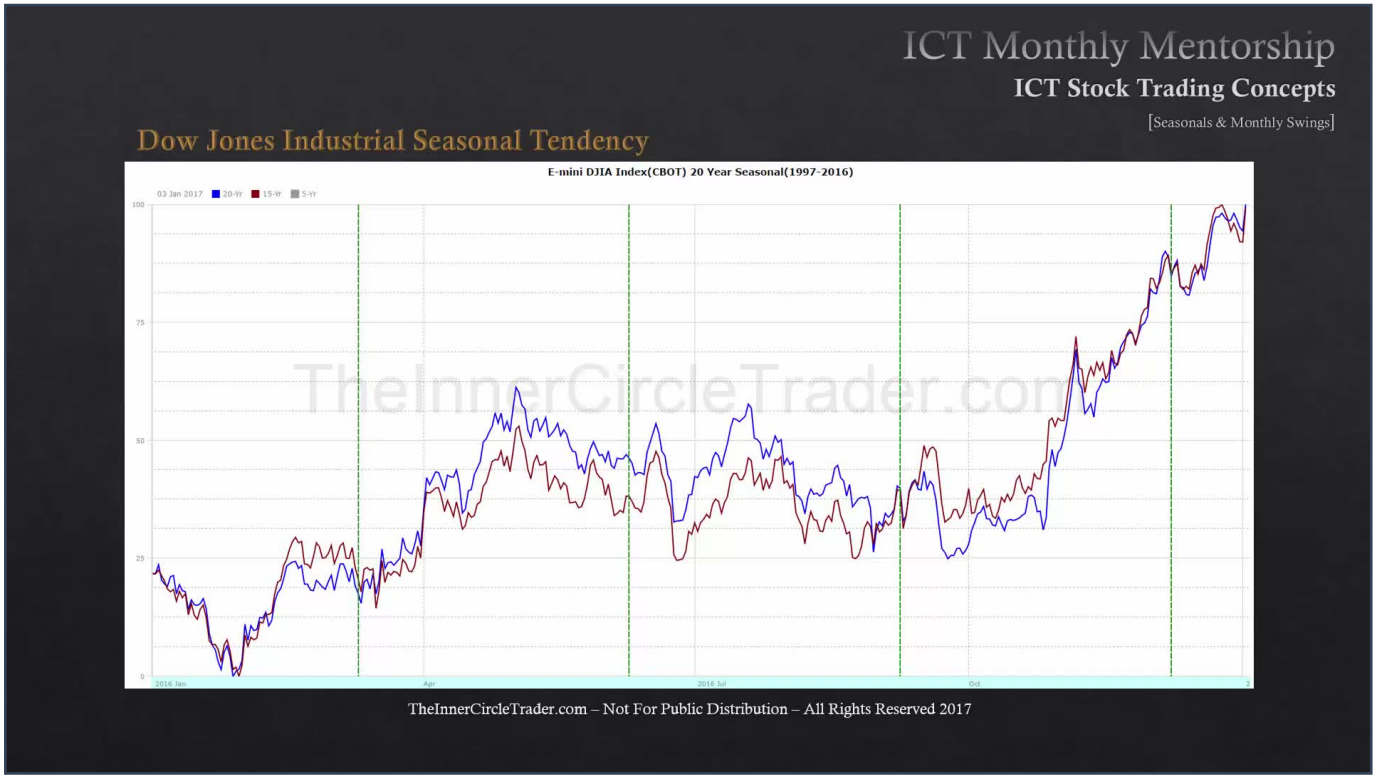
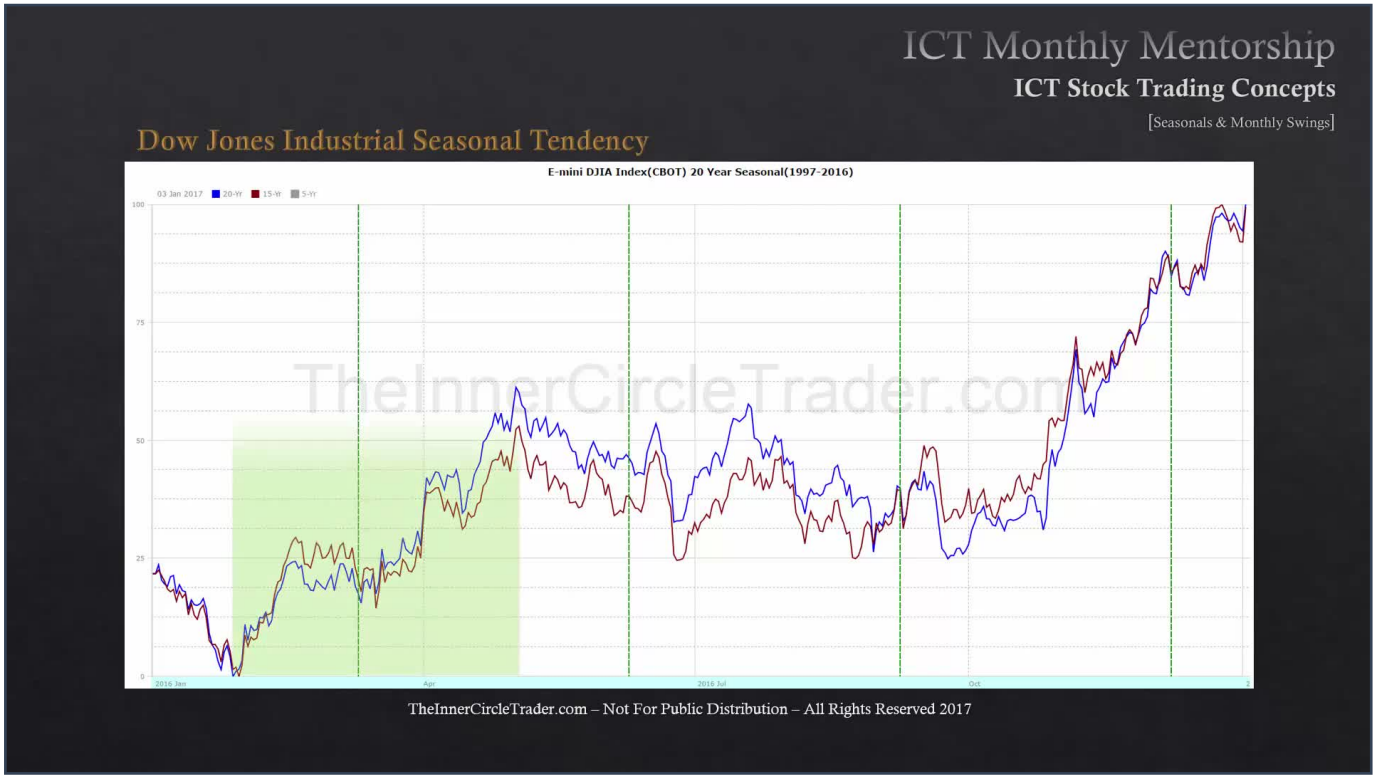
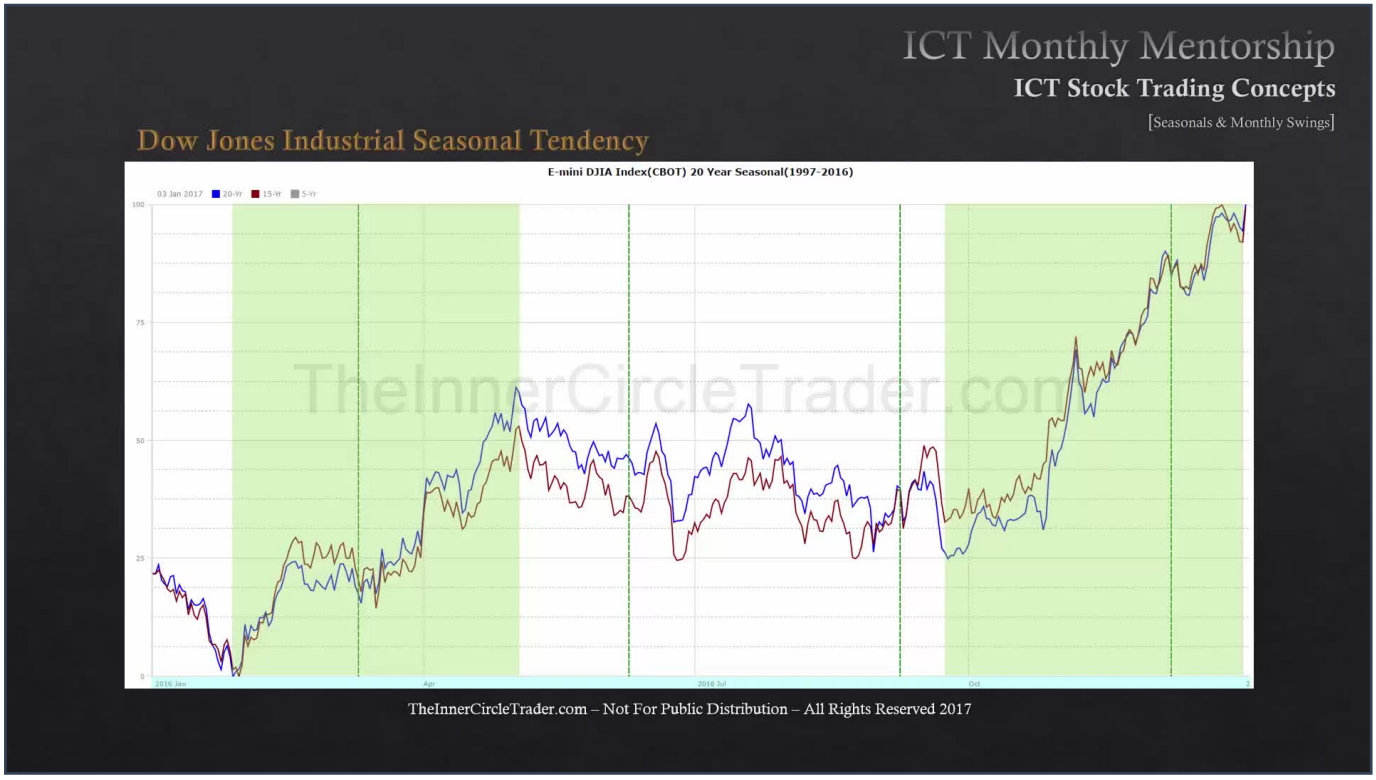


Personally, I believe the seasonal tendency of the Dow Jones Industrial is very closely mirrored to that of the S&P 500. The S&P 500 is a more accurate depiction of what the stock market is doing. We will refer to this basic generic seasonal tendency implied by the Dow but will also use it with the S&P 500 in later lessons. This allows us to filter out strengths or weaknesses in the averages to bolster confidence in higher or lower prices.



There are three divisions in the year when it comes to stock trading. Many people trade stocks or invest more actively than they should, or think they understand stocks when they don't. This lesson alone will position you ahead in equities trading.

- The first half of the year generally presents a large or high magnitude period. This means there's a lot of volatility, but it's directionally driven, generally bullish.



The second portion of the year to discuss is the last quarter. This is generally and primarily a bullish time of the year. I've explained in detail that the last portion of the calendar year in the U.S. is strong due to numerous holidays and year-end spending. This generates significant energy, showing a strong contrast in magnitude and velocity for upward movement compared to the first portion of the year.

THE LOW MAGNITUDE PERIOD: MAY TO OCTOBER

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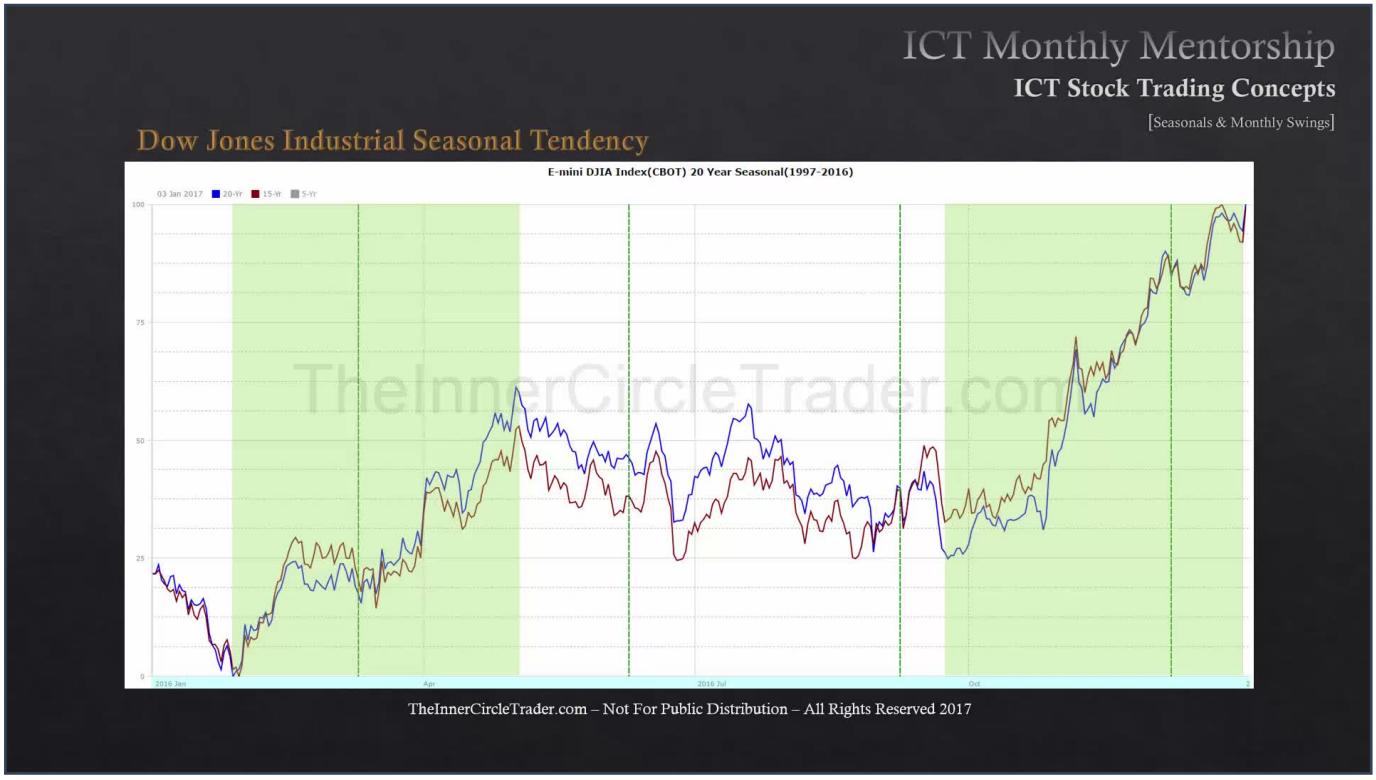

The last and most critical period to understand is the middle portion, boxed in. This is referred to as the low magnitude period, beginning in May and ending in October.

From May to October, you generally see less directionally driven markets. This doesn't mean there won't be short-term directional biases or opportunities, but if you're trading:

- Use a lot less leverage.

- If trading options, engage in a lot less activity.

- Don't be aggressive during these periods.

This period encompasses summer months, with seasonal lulls in spending due to vacations. You'll observe many cyclical and non-cyclical events yearly. During these months, look for a range-bound consolidation environment overall. While individual months have their own seasonal tendencies, you primarily want to focus on being an active trader from October to year-end, and from February to May.

DOW JONES INDUSTRIAL SEASONAL INFLUENCES BY MONTH

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Let's break down the Dow Jones Industrial seasonal influences per calendar month:

- January: Typically a bearish month.

- February: Typically a bullish month.

- March: Generally seen as a consolidation month.

- April: Typically a bullish month.

- May: Typically a bearish month.

- June: A consolidation month, ending with a bearish tone.

- July: Bullish into the mid-year high.

- August: Generally seen as a consolidation month.

- September: Split between the first half being bullish and the second half being bearish.

- October: Usually makes the final quarter of the year's low. It can happen in September during the second half. While bearish, it may drop to make a seasonal low there or in October, then trade aggressively higher.

- November: Typically a bullish month.

- December: Generally a Santa Claus rally bullish month.

CONSISTENCY ACROSS SEASONAL AVERAGES

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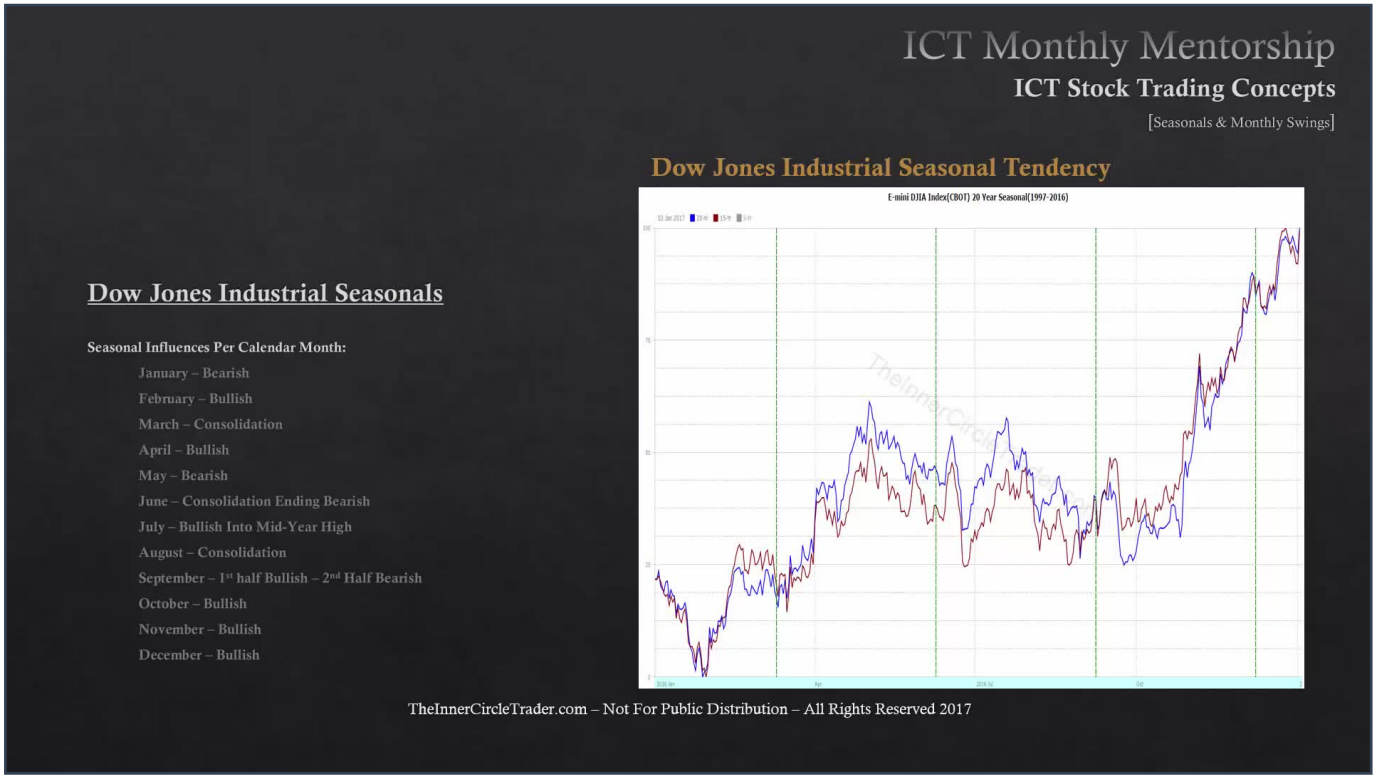
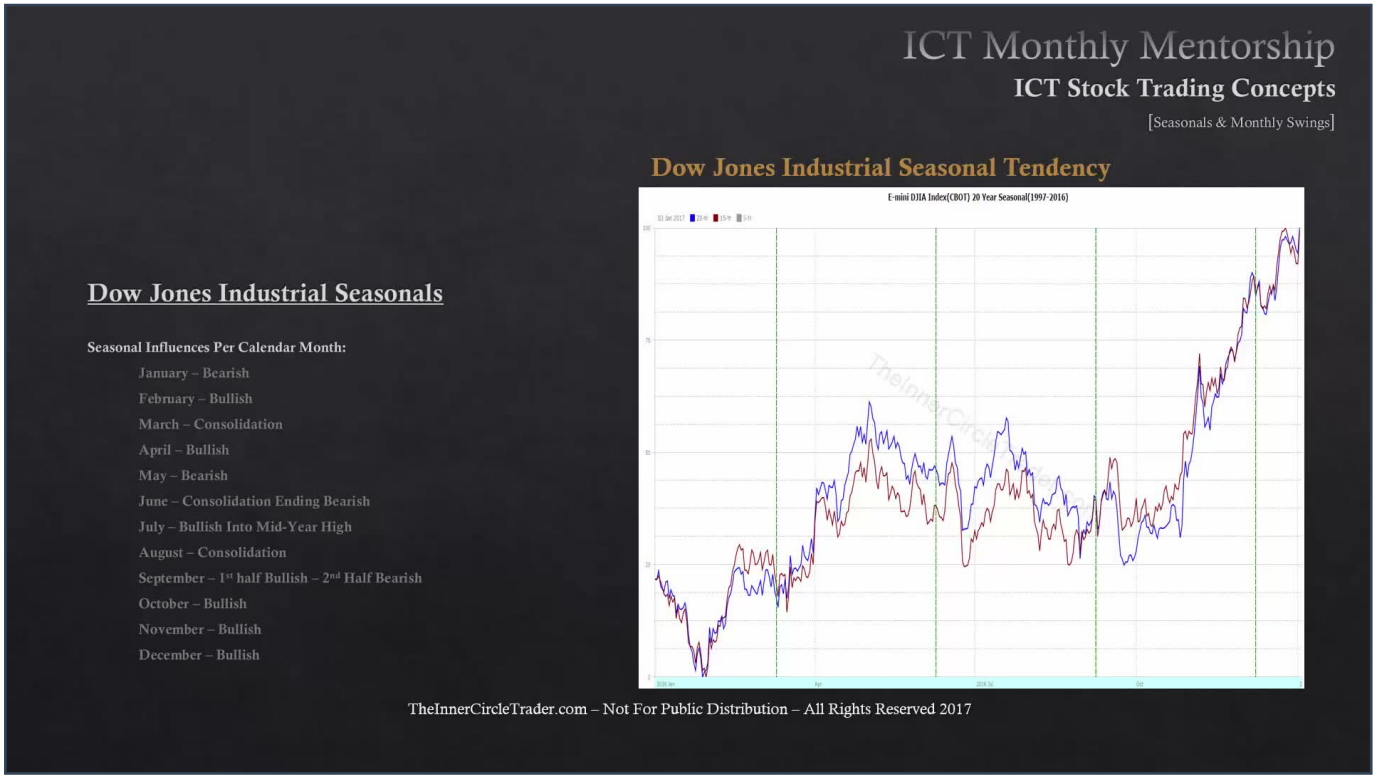


Here we have the entire calendar year in broad, generic terms, indicating whether to expect higher or lower prices. This information is derived from 20-year, 15-year, and 5-year averages.

If you observe the overall consolidations, expansions, trending, and non-trending periods, and when prices go higher or not, the blue and red lines (representing different averages) are very closely correlated. In my opinion, this bolsters confidence in the number crunching of seasonal tendencies. If it averages higher in February over the last 20 years, and also over 15 years, it shows consistency across different timeframes of data analysis. Consistency, however, is not high probability, perfection, fantasy, or absolute no-risk. It means probabilities are historically speaking, and nothing is guaranteed by looking at the past. But if we assume there's a pattern, and we're using seasonal tendencies, this is one worth investigating.



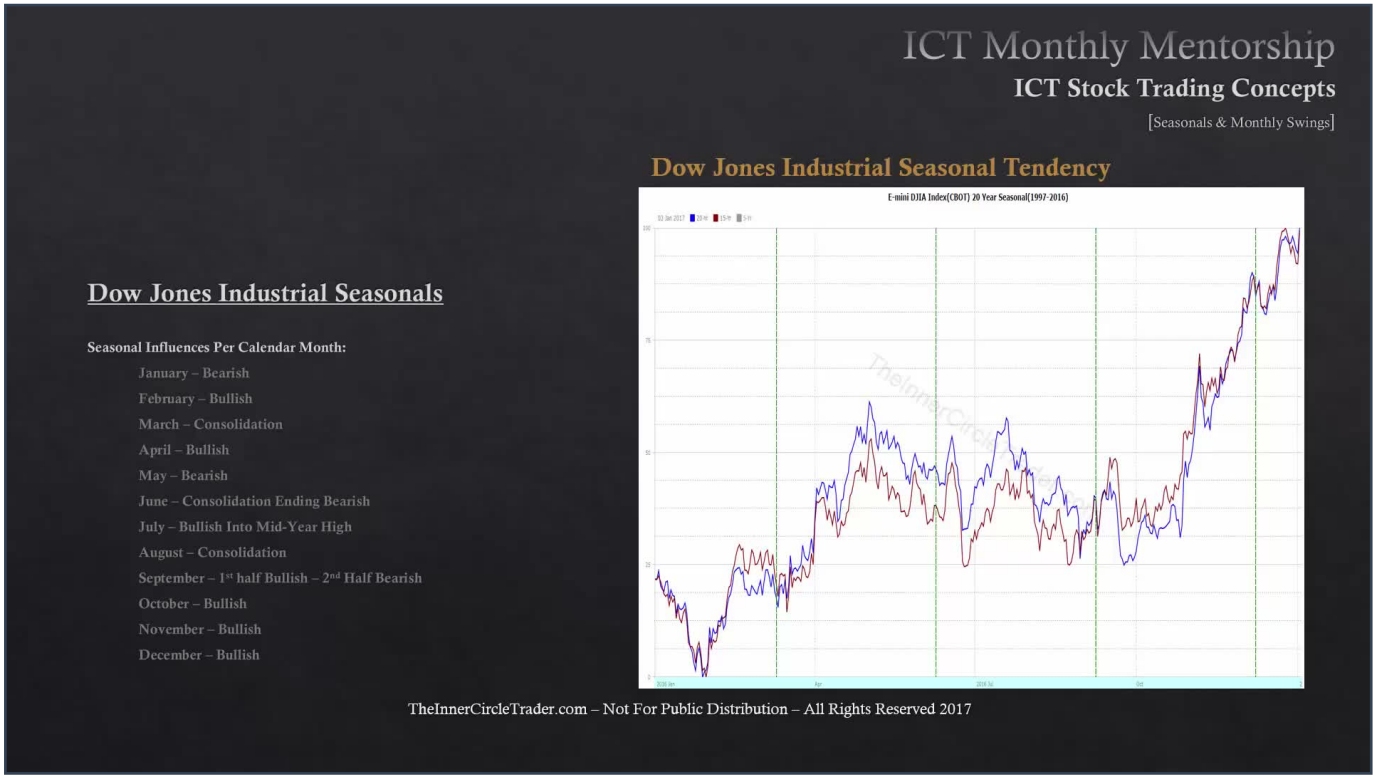
Breaking down the calendar months gives us a strong consensus for short-term or swing trading stocks, and also for day trading the S&P for astute traders. We also have months where opportunities with high probabilities are far less likely:

- March

- June

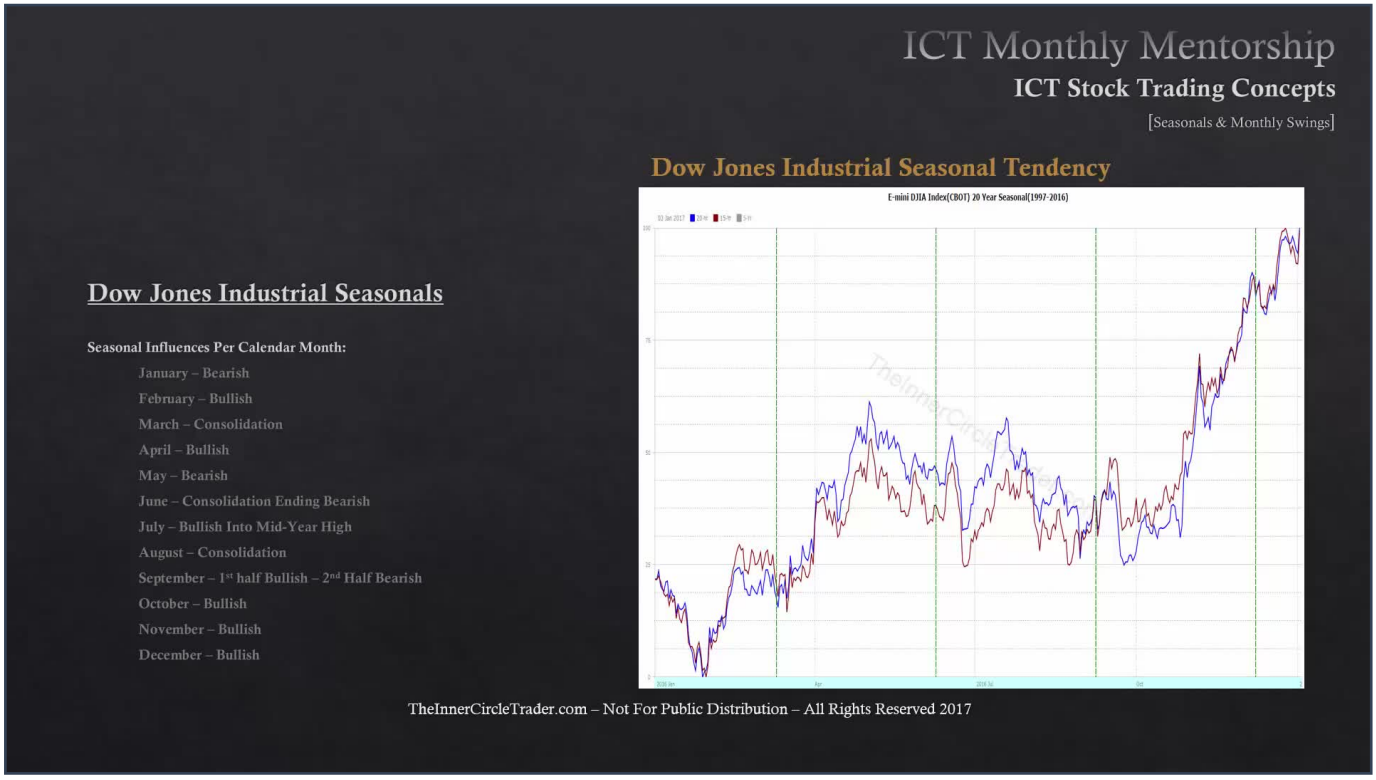
- August

These months typically won't be fruitful for high probability conditions.



There will always be aberrations where the market doesn't fit the seasonal tendency, and that's acceptable. Many times, months suggested as bullish or bearish will be the opposite. This is largely based on underlying trends or market environments.

Because the seasonal tendency highlights the underlying inclination for stocks to be purchased, bought, and held, it will show the strongest buy-side seasonal tendencies. Thus, in a bullish market, the bullish months will indicate the best opportunities for swing trading long stocks.



For bearish months, even during strong periods like the last 20 years when the stock market has been generally going higher, if we identify typically bearish months like May, the second half of September, and January, these can spell aggressive selling.

In bear markets, focusing on these bearish seasonal months when the market is generally moving lower or the overall tide is falling could lead to supercharged short-selling opportunities. We can look for sellers in weak stocks or be bearish on S&P trading.

CASE STUDIES INTRODUCTION: PERSONAL RESEARCH AND CONTRACT CODES

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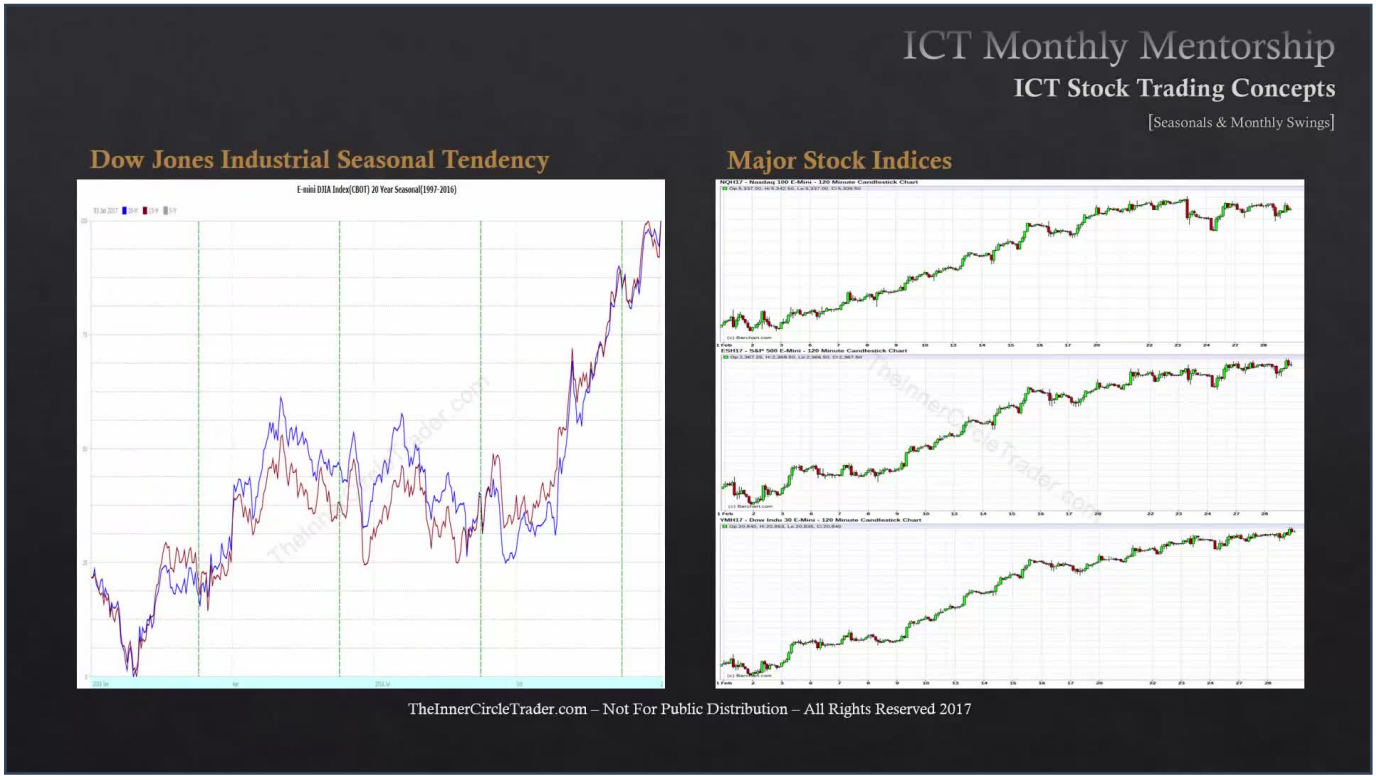
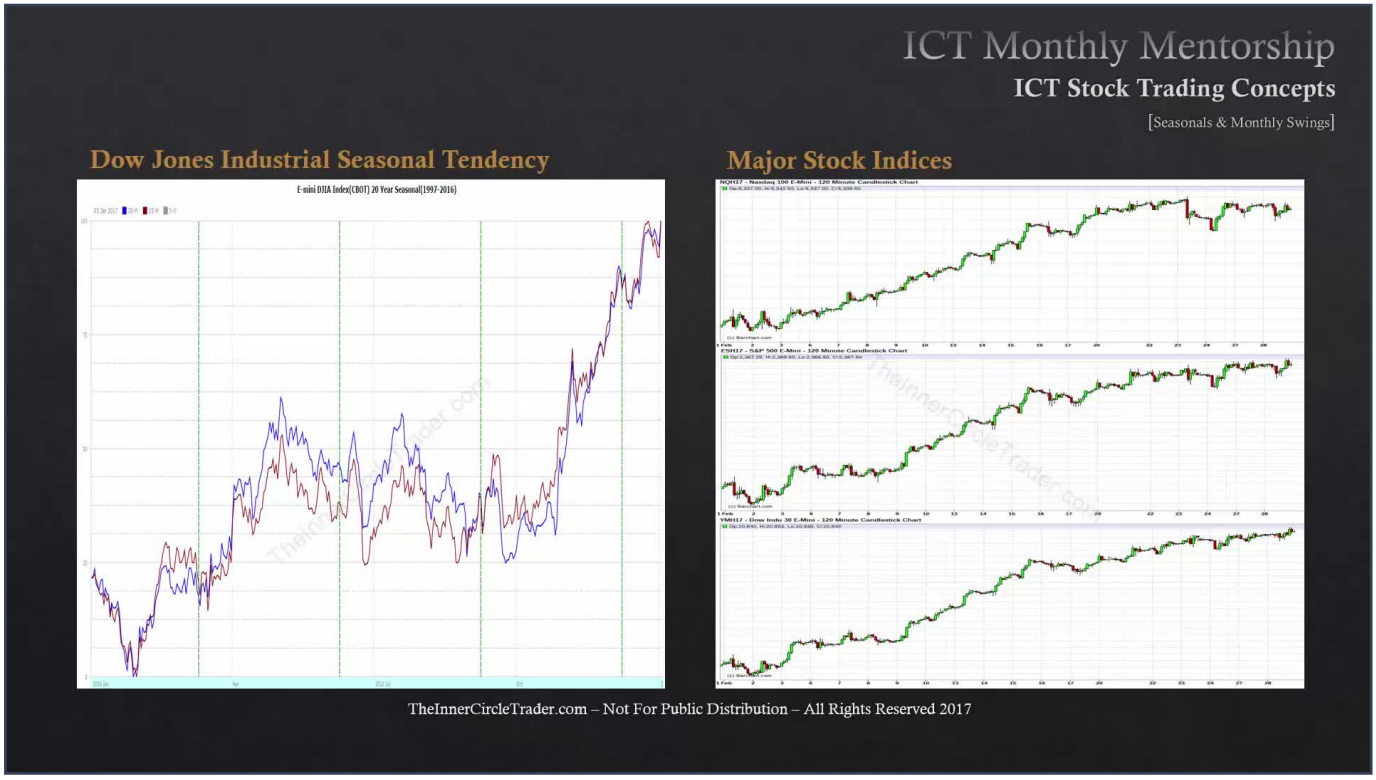


We'll now look at a couple of case studies. I won't cover the entire calendar year; I encourage you to go to barchart.com, pull up individual months yourself, and examine all that data. You can do this by inputting the beginning and ending dates for each calendar month and using respective delivery contracts (March, June, September, and December contracts). Refer to previous lessons for contract codes, how to pull up years, and symbols.



The first example is for February, which we know from the previous slide is generally a bullish month seasonally. On the chart, we see the major stock averages: NASDAQ (top), E-mini S&P (middle), and Dow Jones (bottom). I'm using futures contracts for representation, but cash prices would show the same thing.

Observe February 2nd and 3rd:

- NASDAQ made an equal low.

- S&P and Dow failed to make that equal low, instead forming higher lows.

This is our criteria for strong tendencies – an unwillingness to go lower, which is our Index SMT (Smart Money Tool) divergence, as discussed in S&P trading content. We see indices showing signs of smart money accumulation.

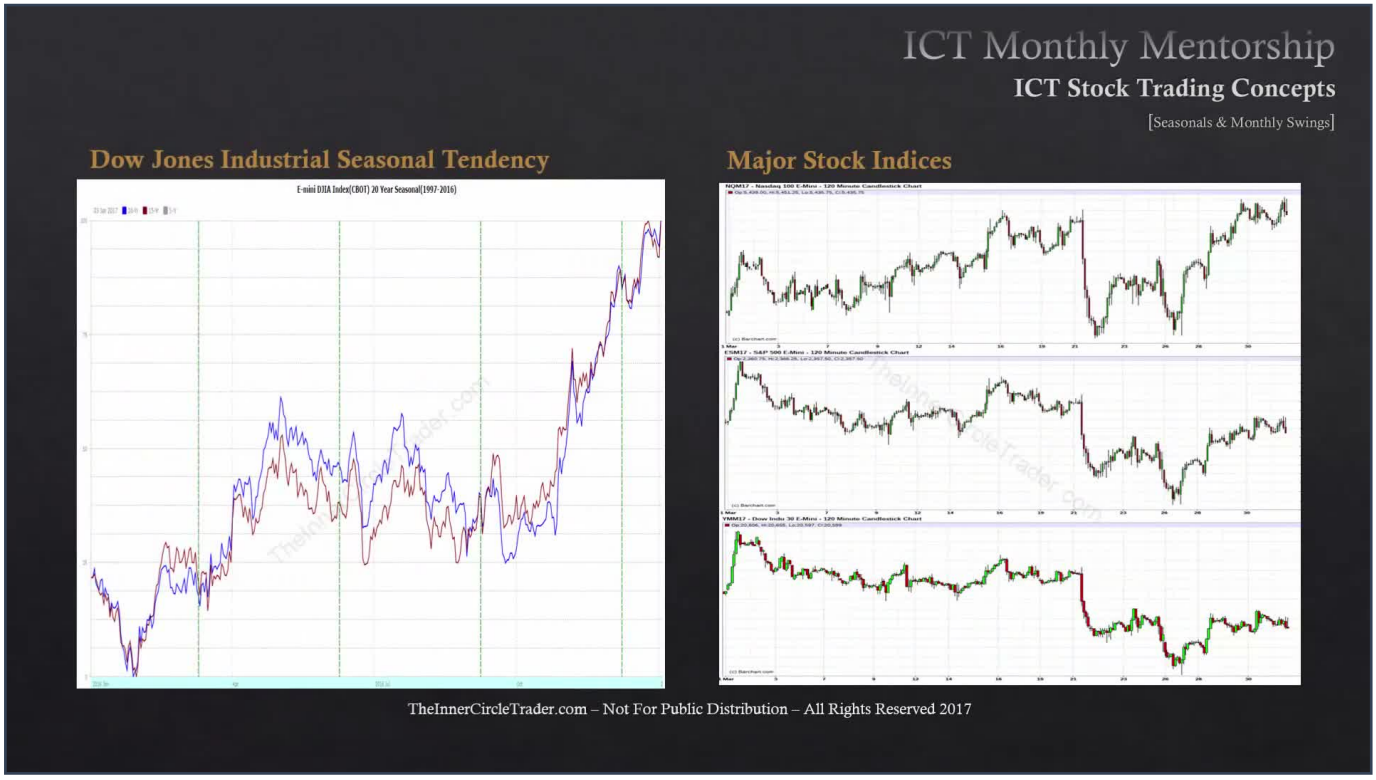
Later in the month, around the 6th to 8th trading day:

- NASDAQ made a higher low.

- S&P made a lower low.

- Dow Jones made a slightly higher low.

Following this, we saw another movement higher across the averages.



Next, we look at March. In the shaded area, March is generally a consolidation period. It exhibits whipsaws of higher and lower prices. More aggressively:

- The second week of March into the third week is generally bearish.

- It then starts to rally towards the close of March.

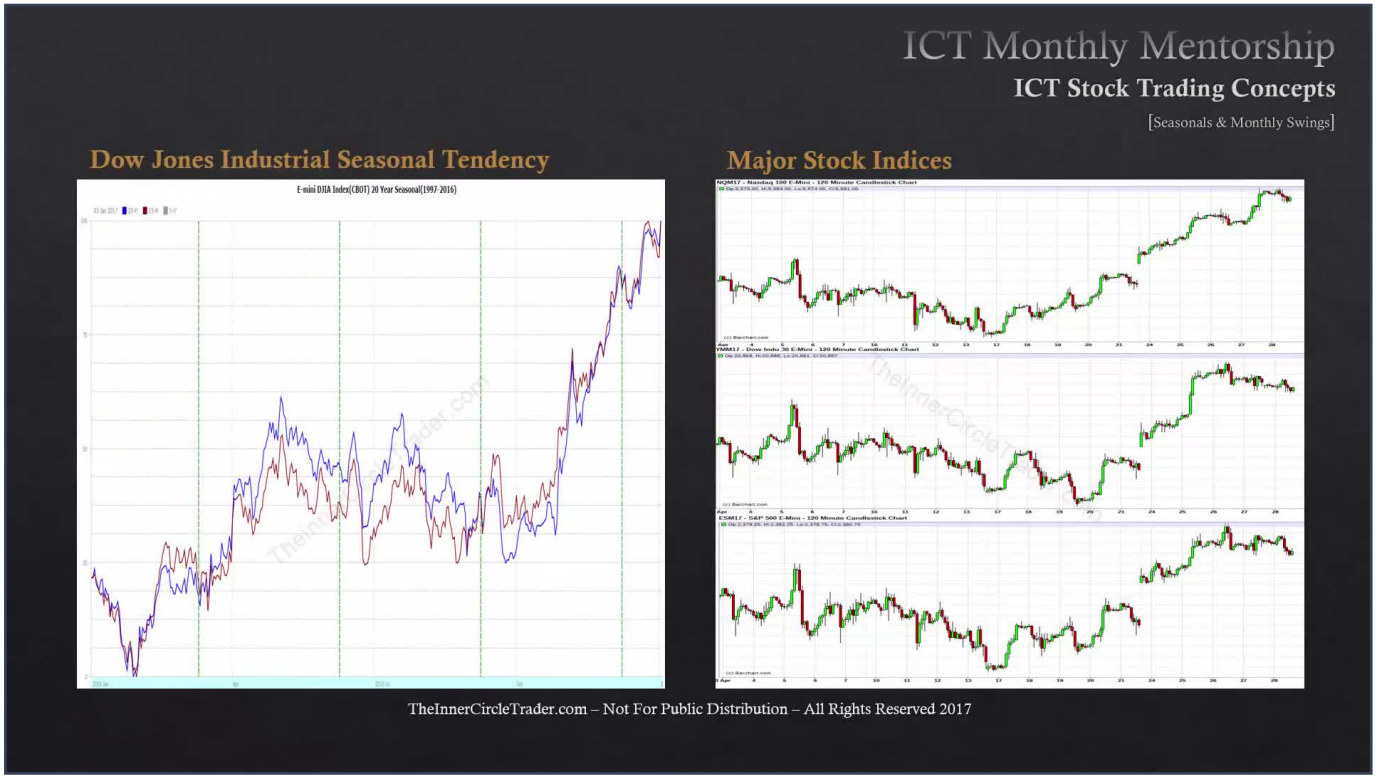
This is communicated by index divergences:

- NASDAQ making higher highs.

- S&P (middle) making lower highs.

- Dow Jones Futures making lower highs.

This led to a resulting sell-off. At the lows, between the 21st and 26th, you can observe a divergence (which I encourage you to study yourself). NASDAQ showed a higher low compared to the lows seen in the E-mini S&P and Dow futures contract. This was followed by a subsequent rally higher across the major three averages. So, while it's a consolidation month, it doesn't mean there's no opportunity; it means you need to understand the context – generally, the entire month is consolidation.



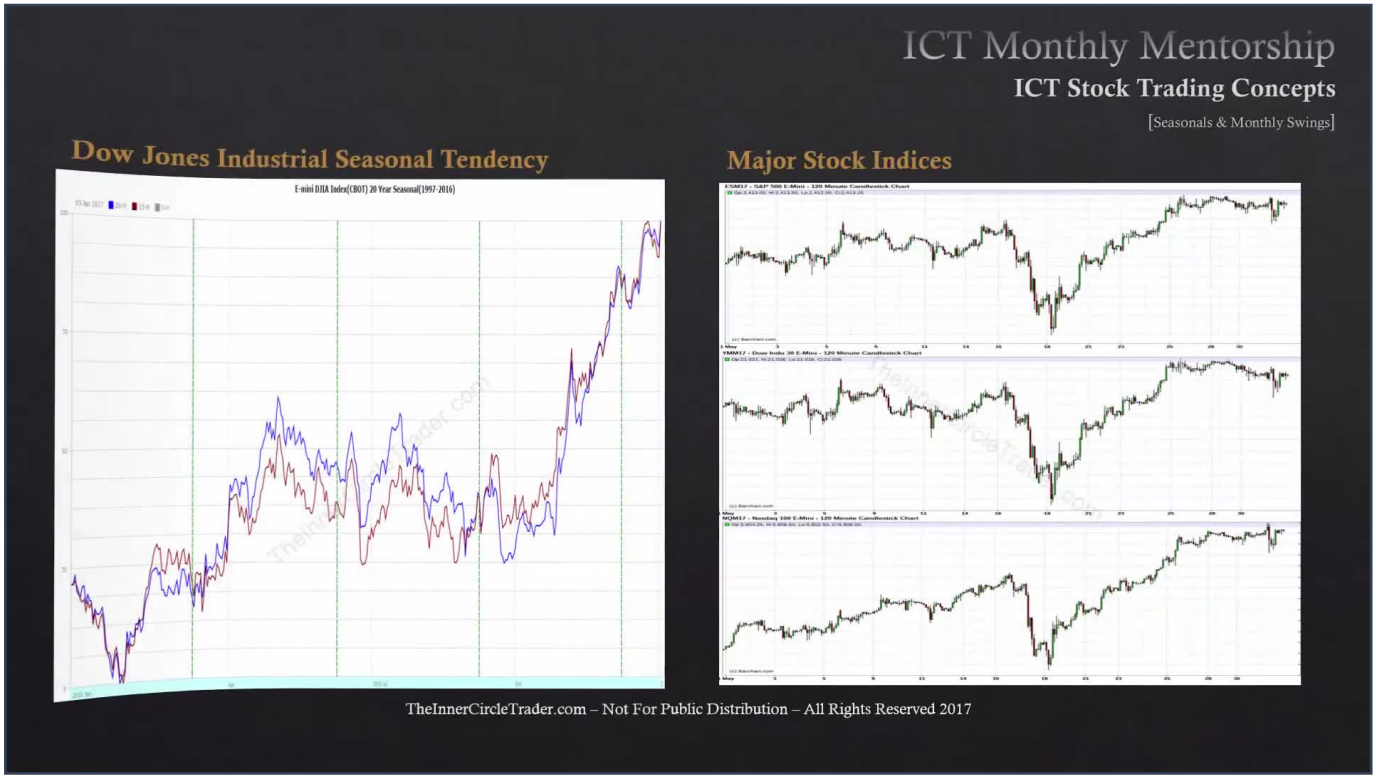
Our next example is April. I have the contracts for NASDAQ (top), E-mini S&P (bottom), and Dow (center) this time. Observe the divergence indicating smart money accumulation:

- NASDAQ failed to make a lower low.

- Dow went lower.

- S&P failed to go lower.

This index divergence preceded a nice movement higher. Simultaneously, mid-April aligns with the seasonal tendency, starting with a slightly bearish tone and then vaulting aggressively up into the end of April. This pattern is clearly seen across all averages.



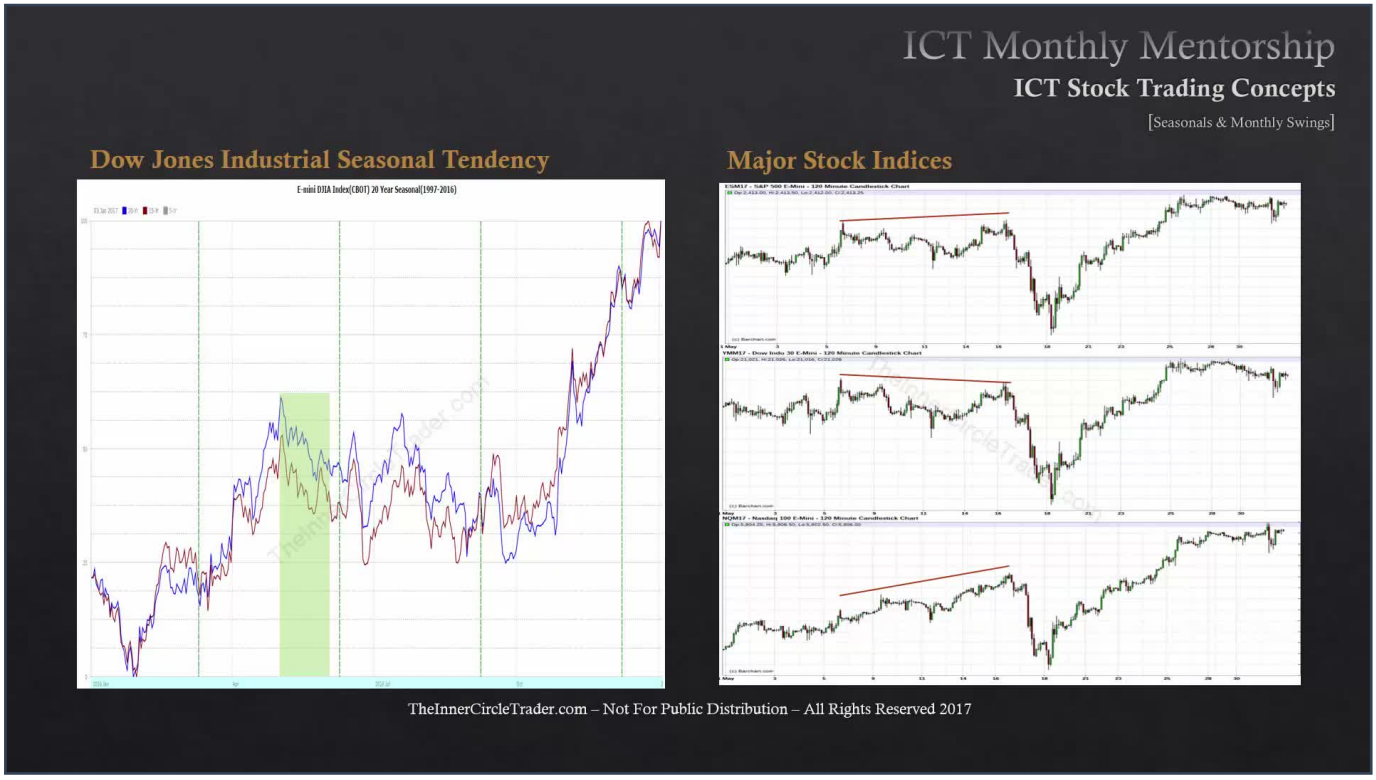
Our final example is May, which is generally a bearish month seasonally. Looking at the averages on the right:

- E-mini S&P (top chart) makes a slightly higher high.

- Dow Futures fails to make a higher high.

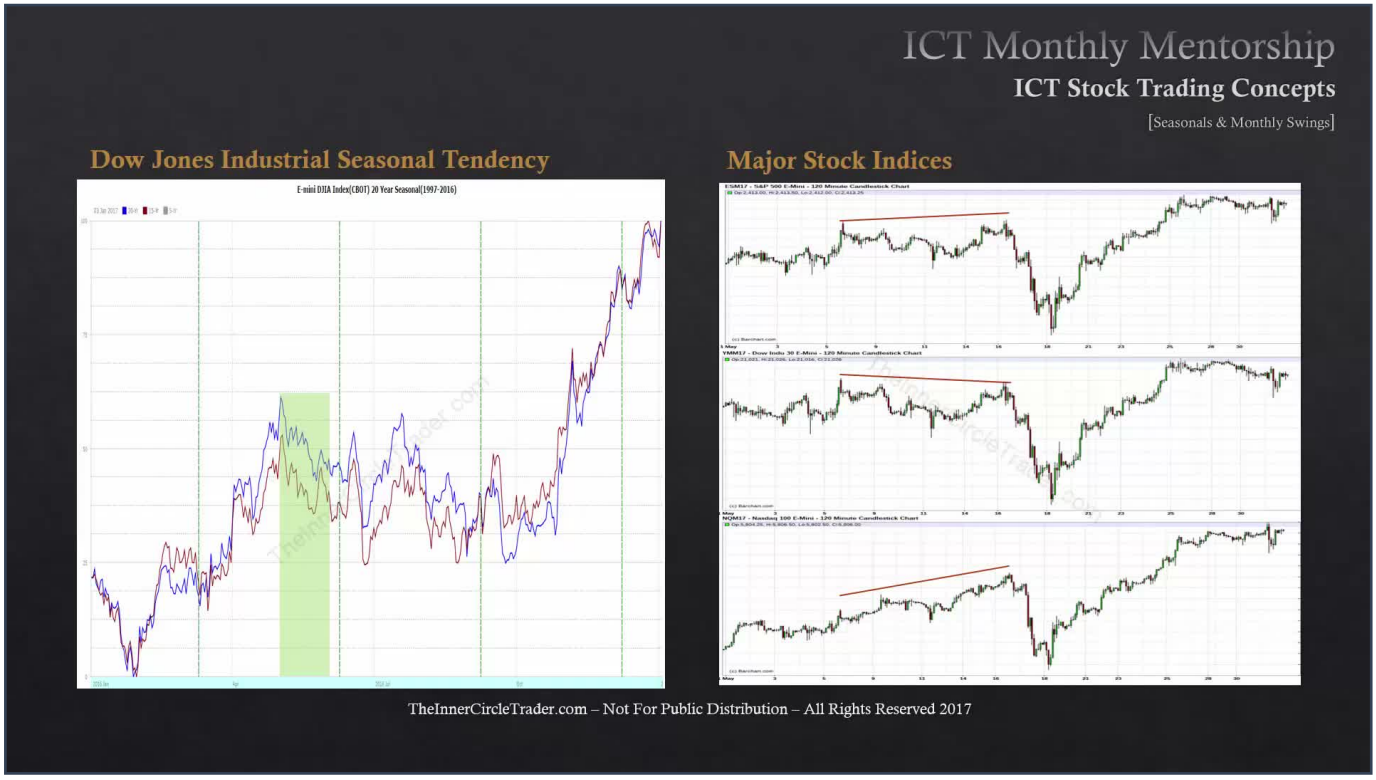
- NASDAQ makes a higher high.

This leads to a sell-off into the midpoint, almost the third week of May. We then see a small flurry higher in the seasonal tendency towards the close of the month. This creates an intra-month seasonal low. Overall, however, May is generally a bearish month.



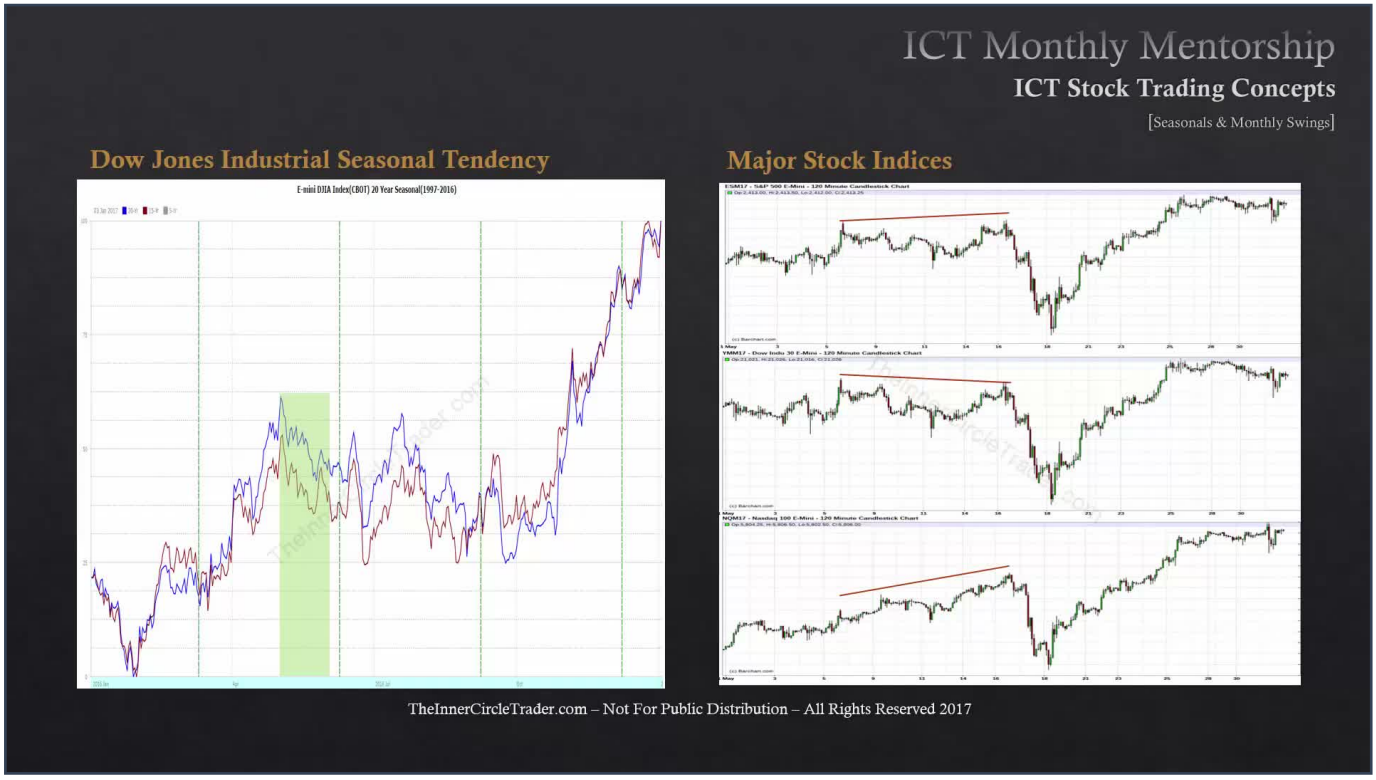
As a reminder, May 2017 is part of a larger consolidation seen in the year of this recording. It's been an unorthodox stock market, finding higher highs, but doing so with formerly leading stocks losing their momentum and not making new highs. The market is making higher highs, but without a lot of its previous leadership.

There will be times when the stock market defies all logic, doing the opposite of what you expect, and vice versa. If you're going to trade stocks, in my opinion, it's better to focus on times when the market is predisposed to go higher, and not during periods like the 'bubble' I believe we are in during 2017.



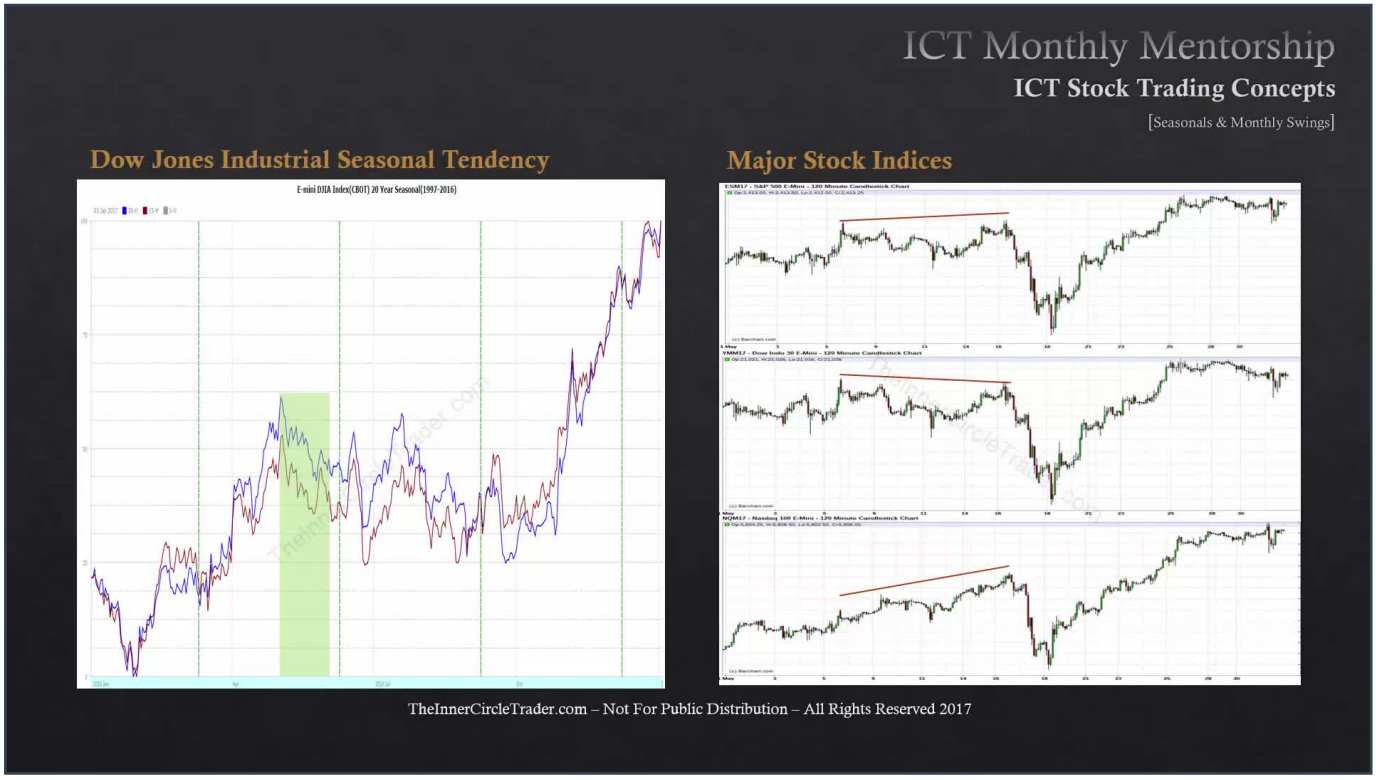
If you are a trader using investment vehicles like IRAs or retirement accounts, and it's possible for you globally to manage it as a self-directed medium – trading your own choices and selections of which stocks to be in and when to exit – I believe this will supercharge your returns. No one will do a better job than you in caring for your money.

Most of us work hard for our money or obtain it through inheritance, so we care about not losing it. Professionals at firms, supposedly looking out for our best interests, often aren't, and surprisingly, are not contractually obligated to do so when examined closely.

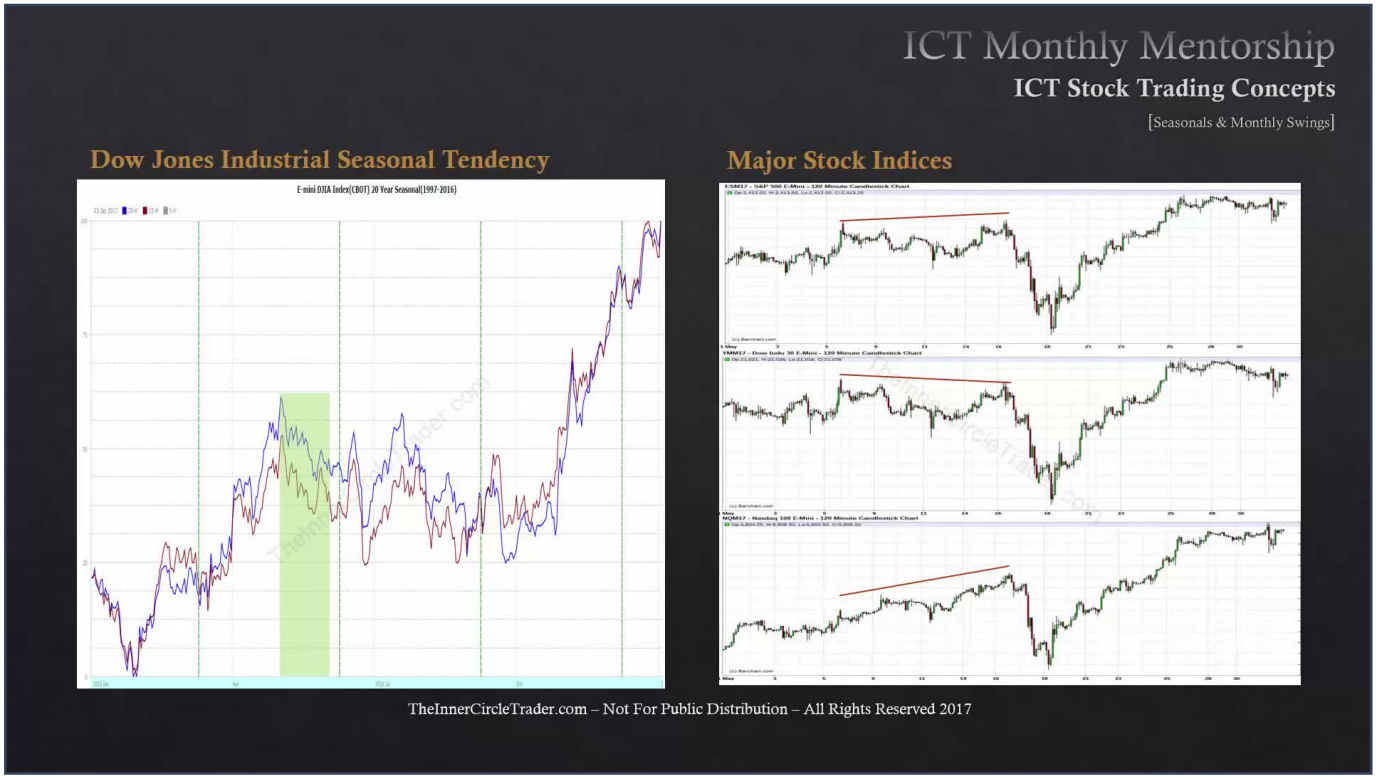


The market always propels new participants. There's always a new crowd willing to invest because the idea is perpetual: invest for the future, for tax deductions, deferment, and retire rich. Yet, major stock market crashes and corrections occur, and many with paper profits end up with far less than they expected.

As an investor in stocks, I still believe you need to be a trader in stocks. There are times to be in stocks and times to be out. This teaching focuses on when it's ideal, based on past cyclical, seasonal, and statistical information, for things to come to fruition. By focusing on these 'sweet spots' for investing, it will hopefully be more advantageous than simply buying stocks because someone on TV advises it.



If we use our own analysis and achieve consistent returns that outpace and outperform the market, which I believe the concepts taught this week will enable, we'll do better than general averages. There are many inaccuracies regarding the stock market's average annual return due to complex number crunching. Forget those ideas about expected returns; you'll likely perform differently, often outperforming your lowest expectations, and sometimes even your highest.



As we go through this week's material, understand that it's aimed at:

- Providing another asset class if it interests you.

- Empowering self-directed management of retirement accounts, allowing you to pick and choose entry and exit points for stocks.

Additional lessons on looking at stocks will be covered in an extra video after the fifth lesson, making it six videos this week. I am confident that by the end of this week, you will know significantly more about stocks than the average person, and certainly more than many online 'experts'. Until our next lesson, I wish you good luck and good trading.